

5 Numbers to Know Before You Make an Offer

1

After-Repair Value (ARV)

Comps within 1 mi, sold < 6 mo, similar bed/bath/sqft

\$

ARV = weighted avg of 3+ comps

2

Rehab Budget

Walk the property · add 10–15% contingency

\$

Scope: roof, HVAC, electrical, kitchen, baths, flooring

3

Max Allowable Offer (MAO)

Your ceiling — never go above this

\$

MAO = ARV × 0.70 – Rehab

4

Profit Margin

Target 15%+ · below 10% is a red flag

\$

Margin = (ARV – Total Costs) ÷ ARV

5

Cash-on-Cash ROI

Profit ÷ Cash Invested · accounts for hold time

\$

Pre-Offer Checklist

- ✓ Pulled 3+ recent comps (MLS, Zillow, or agent)
- ✓ Walked property or got written contractor estimate
- ✓ Added 10–15% contingency to rehab budget
- ✓ Calculated monthly carrying costs incl. loan interest
- ✓ Verified deal score and profit margin in FlipIQ

- ✓ Confirmed purchase price is at or below MAO
- ✓ Checked for liens, HOA fees, and title issues
- ✓ Estimated closing costs (buy + sell ≈ 10% of ARV)
- ✓ Confirmed exit strategy: flip / hold / BRRRR
- ✓ Reviewed deal with partner or lender before offer

ROI = Net Profit ÷ Cash In × (12 ÷ Hold Mo)

Analyze your next deal in 60 seconds — free at reflipiq.com

Get your deal score, profit, ROI, and a lender-ready PDF report instantly.